DAILY ANALYSIS REPORT - STAR CEMENT

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Date: 11 August 2026

DAILY UPDATE

Star Cement Limited

BSE: 540575 | NSE: STARCEMENT | ISIN: INE460H01021 | SECTOR: Materials — Cement & Cement Products

Star Cement Limited (formerly Cement Manufacturing Company Limited, renamed in 2016) is the largest cement manufacturer in North East India, with its integrated plant at Lumshnong, Meghalaya and grinding units serving the North-East, West Bengal and Bihar. Promoted by the Bhajanka family (Century Plyboards group) and founded in 2001, the company manufactures OPC, PPC, PSC and value-added cement variants. It is listed on both the NSE and BSE.

The company's growth strategy is anchored in North East India, supported by an attractive capital-subsidy regime (150%–200% of investments receivable over 15–20 years), which management intends to utilise within 5–10 years of commencement of commercial production, generating incremental cash flows of roughly ₹160–200 Cr. Combined with expanding market share and rising revenues — the company projected double-digit percentage revenue growth in FY25–26 — this has strengthened the financial base for expansion outside Eastern India.

Star Cement is expanding capacity from 9.7 MTPA to 16.7 MTPA by FY29 through a new Bihar grinding unit (FY28) and the Nihmbol (Meghalaya, integrated) and Haryana grinding units (FY29), funded through internal accruals and debt while targeting net Debt/EBITDA below 1.5x.

FINANCIAL INFORMATION

Historical Financials (₹ in Crores)

Particulars	FY2022	FY2023	FY2024	FY2025	FY2026
Total Revenue from Operations	2,255.19	2,756.93	2,937.13	3,173.96	3,795.75
EBITDA	378.62	520.47	582.78	589.21	955.21
EBIT	256.99	389.36	436.18	257.30	589.93
Profit Before Tax	243.65	379.67	423.58	225.67	554.94
Net Profit (PAT)	246.77	247.60	295.11	168.82	413.10
Total Assets	2,745.09	3,131.40	3,602.37	4,106.85	4,646.86
Total Equity	2,168.43	2,416.38	2,710.12	2,879.19	3,191.20
Total Debt	8.01	4.84	72.10	292.73	493.19

Source: Star Cement financial model (FY2022–FY2026 audited/historical)

Star Cement's revenue grew from ₹2,255.19 Cr in FY2022 to ₹3,795.75 Cr in FY2026, a 5-year CAGR of approximately 13.9%. EBITDA more than doubled over the same period, from ₹378.62 Cr to ₹955.21 Cr, aided by a step-up in EBITDA margin to ~25.2% in FY2026 from ~16.8% in FY2022 on the back of operating leverage and cost efficiencies.

Net profit dipped in FY2025 (₹168.82 Cr) largely on account of a sharp rise in depreciation as new capacity was capitalised, before recovering strongly in FY2026 (₹413.10 Cr) as the expanded capacity started contributing to revenue and EBITDA.

Key Financial Ratios (FY2026 / Latest)

Metric	Value
Price-to-Earnings Ratio (P/E, TTM)	21.74x
EV/EBITDA	9.11x
EV/Sales	2.30x
Return on Equity (RoE)	~12.9%
Return on Capital Employed (RoCE)	~16.0%
Debt-to-Equity Ratio	0.15x
EBITDA Margin	~25.2%
Net Profit Margin	~10.9%
Forward Dividend & Yield	₹2.00 (0.99%)

Source: Star Cement financial model; Yahoo Finance (price-linked metrics)

SHAREHOLDING PATTERN

Shareholding Summary (As on 30/06/2026)

Category	Details
Majority Shareholders	Promoters (Bhajanka family / Century Plyboards group)
Promoters' Holding	58.10%
Pledged Promoter Holdings	31,17,000 shares (1.33% of total, 1.33% of promoter holding)
Public Shareholding	41.90%
— Mutual Funds	2.37% (SBI Flexicap Fund: 2.26%)
— Foreign Portfolio Investors	2.29% (incl. Abu Dhabi Investment Authority – Monsoon: 1.04%)
— Bodies Corporate	16.05% (incl. UltraTech Cement Ltd: 8.42%)
— Trusts	9.15%
— Resident Individuals	6.71% (combined ≤₹2L and >₹2L holders)
— NRIs	0.37%
Significant Beneficial Owners (SBOs)	Yes — Mr. Sajjan Bhajanka and Mr. Sanjay Agarwal hold indirect stakes via group entities
Foreign Ownership Limit Utilised	2.93% of 100% board-approved limit

Source: Shareholding Pattern filing (Star Cement Limited) as on 30/06/2026

Promoters held 58.10% of Star Cement as of the quarter ended June 2026, with 31,17,000 shares (1.33% of total equity) under pledge. Institutional interest is meaningful on the public side too — Bodies Corporate account for the largest non-promoter block at 16.05%, notably including a strategic-style holding of 8.42% by peer UltraTech Cement, alongside FPI and mutual fund participation of 2.29% and 2.37% respectively. The stock's retail base is broad but small-ticket: per the distribution schedule, ~61% of the 62,529 shareholders hold up to 50 shares, together accounting for only ~0.15% of shares outstanding, while holders above 5,000 shares (just 1.1% of shareholders) control ~97.5% of the equity.

COMPARE VALUATIONS WITH PEERS

Peer Comparison (Cement & Cement Products)

Company	EV (₹ Cr)	EV/Sales	EV/EBITDA	P/E
UltraTech Cement	3,74,328	4.07x	21.44x	40.81x
Grasim Industries	4,34,691	2.48x	11.61x	42.56x
Ambuja Cements	1,09,264	2.74x	14.71x	23.23x
Shree Cement	98,383	4.49x	18.74x	59.45x
J K Cements	48,307	3.35x	18.81x	43.64x
Dalmia Bharat	41,150	2.73x	12.86x	30.93x
ACC	25,936	1.02x	7.70x	13.72x
The Ramco Cement	25,953	2.87x	17.56x	31.93x
JSW Cement	21,927	3.37x	15.38x	27.50x
Nuvoco Vistas	17,222	1.49x	9.16x	29.89x
India Cements	13,516	3.02x	30.67x	90.90x
JK Lakshmi Cement	9,149	1.35x	8.46x	17.80x
Star Cement	8,698	2.30x	9.11x	20.02x
Peer Median	—	2.81x	16.13x	36.37x

Source: Star Cement financial model — Comps sheet (12-peer cement universe, NSE/BSE-sourced)

Star Cement trades at a discount to the peer set across every multiple — EV/EBITDA of 9.11x versus a peer median of 16.13x, and P/E of 20.02x versus 36.37x — reflecting its smaller scale and regional (North East-focused) footprint relative to pan-India majors like UltraTech and Ambuja. This discount also underpins the EV/EBITDA exit multiple (15.43x, the average of the 8 large-cap peers) used as one of the two terminal value methods in the DCF below.

DCF VALUATION ANALYSIS

DCF Model Assumptions

Parameter	Value
Discount Rate (WACC)	10.73%
Tax Rate	25.56%
Perpetual Growth Rate (Gordon Growth)	4.00%
Terminal Value Method 1	EV/EBITDA Exit Multiple
EV/EBITDA Exit Multiple	15.43x
Projection Period	FY2027 – FY2036 (10 Years)
Shares Outstanding	40.42 Crores

Source: Star Cement DCF Model; WACC build; Comps sheet

Valuation Summary

Valuation Metric	Value (undiscounted, FY2036 basis)
Terminal Value — Gordon Growth Method	₹21,644.38 Cr
Terminal Value — EV/EBITDA Method	₹30,455.03 Cr
Blended Terminal Value	₹26,049.71 Cr
Enterprise Value (DCF, discounted)	₹11,332.52 Cr
Equity Value (DCF)	₹11,115.39 Cr
Intrinsic Value per Share	₹275.99
Current Market Price	₹198.94
Upside / (Downside)	+38.73%
Recommendation	BUY

Source: Star Cement DCF Model

The DCF values Star Cement at ₹267.11/share against a current market price of ₹198.94, implying ~34% upside. The blended terminal value (simple average of the Gordon Growth and EV/EBITDA exit-multiple methods) is discounted back at the 10.96% WACC — derived from a peer-average unlevered beta of 0.968, re-levered to Star Cement's own capital structure, plus a 7.03% risk-free rate and 4.53% equity risk premium. The model remains sensitive to both the discount rate and the exit multiple/perpetual growth assumptions — at the low end of the sensitivity grid (13% WACC, 10x exit multiple), intrinsic value falls to ~₹165/share, while at the high end (9% WACC, 22x exit multiple) it rises to ~₹432/share.

Scenario Analysis — Revenue Growth Assumptions

Scenario	FY2027 Growth	FY2036 Growth	Rationale
Base Case	13.0%	5.0%	13% starting growth is a slightly conservative read against Star Cement's ~14% FY22–FY26 revenue CAGR, factoring in the additional volume from the announced capacity expansion; tapered 10% p.a. thereafter.
Bull Case	22.2%	8.6%	22.2% reflects a strong capacity ramp-up scenario, supported by Star Cement's planned increase from 9.7 MTPA to 16.7 MTPA by FY29, alongside stronger demand and realisations; tapered 10% p.a.
Bear Case	7.5%	4.0%	7.5% is broadly aligned with the 7–8% FY27 industry cement-volume growth outlook (ICRA), assuming Star Cement gains little incremental market share from the expansion; tapered 10% p.a. to a 4% floor.

Source: Star Cement financial model — Scenario Analysis sheet; management guidance (Annual Report 2024-25, Q4 FY26 Investor Presentation); IBEF Cement Industry Report, May 2026

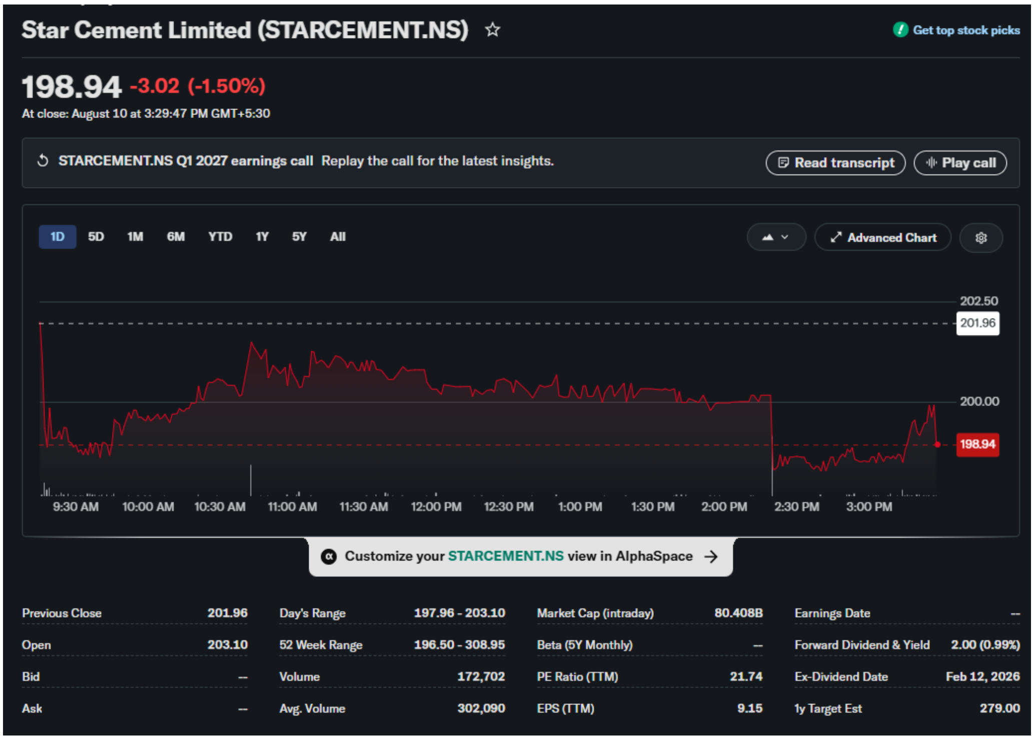
PRICE ACTION

Current Price Parameters

Parameter	Value
NSE Symbol	STARCEMENT
BSE Script Code	540575
Last Traded Price	₹198.94 (-3.02, -1.50%)
Previous Close	₹201.96
Open	₹203.10
Day's Range	₹197.96 – ₹203.10
52-Week Range	₹196.50 – ₹308.95
Market Capitalisation	~₹8,040.8 Cr (₹80.41 Bn)
Volume (Aug 10, 2026)	1,72,702 shares
Average Volume	3,02,090 shares
P/E Ratio (TTM)	21.74x
EPS (TTM)	₹9.15
Forward Dividend & Yield	₹2.00 (0.99%)
Ex-Dividend Date	12 February 2026
1-Year Analyst Target Estimate	₹279.00

Source: Yahoo Finance (STARCEMENT.NS), as at close, 10 August 2026

Star Cement closed at ₹198.94 on 10 August 2026, down 1.50% on the day and trading near the lower end of its 52-week range of ₹196.50–₹308.95 — roughly 36% below its 52-week high. At the current price, the stock trades well below both its DCF-implied intrinsic value of ₹267.11 and the average 1-year analyst target of ₹279.00, though the wide gap to the 52-week high also signals the stock has been in a sustained downtrend that a value-based read alone does not explain.



DISCLAIMER

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